PROJECT SYNDICATE DIGEST

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1. The Canary in the AI Coal Mine

Author: Kenneth Rogoff **Published:** Aug 3, 2026 **Link:** View Original

CAMBRIDGE—The AI race between the United States and China is accelerating at a breathtaking pace. Time and again, the US has appeared to pull ahead, only to see China quickly close the gap.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

Companies have poured billions of dollars into AI in anticipation of transformative productivity gains and cost savings, but the returns have yet to justify those investments. Rising costs, intellectual-property risks, and mounting cybersecurity threats call for a more disciplined approach to AI adoption.

At the heart of this competition lie two contrasting visions of how AI should be developed and deployed. While US firms largely rely on proprietary technologies to maintain their competitive advantage, China has increasingly embraced open-source AI, making advanced models widely available to developers around the world.

Different strategies notwithstanding, both countries are locked in an arms race which neither side is willing to slow. As speed becomes the overriding priority, safety increasingly takes a back seat, despite the uncomfortably high risk of catastrophic failure arising from the combination of human error and superintelligent AI.

A recent security breach involving OpenAI and Hugging Face has underscored the danger of treating safety as an afterthought. The incident occurred while OpenAI researchers were evaluating the cybersecurity capabilities of two frontier AI models. To identify weaknesses and vulnerabilities that sophisticated hackers might exploit, they temporarily disabled many of the models' normal safeguards.

The experiment was conducted inside a tightly controlled "sandbox." Although the models' behavioral guardrails had been temporarily removed, the sandbox was supposed to prevent them from accessing the open internet, where they could —at least in theory—have caused enormous damage.

Instead, the models treated the sandbox itself as an obstacle. Exploiting a previously unknown flaw in third-party software, they circumvented its restrictions and gained access to the open internet. Did they "go rogue"? Not exactly. After all, they were simply pursuing the objective they had been given: to solve a difficult cybersecurity problem as efficiently as possible.

Although the models likely could have completed the task from within the sealed sandbox, they "inferred" that it would be far easier to infiltrate Hugging Face—which hosts over two million open-source AI models—and, in OpenAI's words, "obtain test solutions directly from Hugging Face's production database." For an AI with advanced hacking capabilities, breaking into another system was child's play. In fact, the breach went undetected for days and apparently spread to a second firm.

From the models' perspective, this was not "cheating," as they had not violated any explicit rule encoded by their developers—they had merely found a more efficient way to achieve their objective. Perhaps most unsettling, one of the models reportedly left behind notes explaining how future AI systems could break out of OpenAI's sandbox more easily.

AI experts would rightly argue that this experiment was not representative. The models' safeguards had been weakened to test the full extent of their capabilities, and they did not cause any serious harm. They did not, for example, break into the systems of the US Federal Reserve or the European Central Bank. Nevertheless, the episode demonstrated how seemingly minor human errors can be amplified by AI, with potentially catastrophic consequences.

The incident is eerily reminiscent of the much-debated (and still-unproven) COVID-19 lab leak theory, which holds that the virus escaped from a laboratory in Wuhan, China, where researchers were allegedly conducting risky "gain of function" research on viruses. In both cases, human error and hubris—not malice—are the ultimate culprits. History offers plenty of similar cautionary tales.

The spread of open-source AI models compounds the problem. With cutting-edge AI tools no longer confined to a handful of leading laboratories, it is only a matter of time before rogue states and terrorist groups attempt to use them to develop biological weapons, novel toxins, or dirty bombs. It is dangerously naive to assume, as many US policymakers appear to do, that such capabilities exist only in Silicon Valley.

But the most immediate danger may be political, not technological. AI already enables malicious actors to create increasingly convincing deepfakes and voter-manipulation campaigns on an unprecedented scale. Left unchecked, these tools could further erode public trust, fuel political polarization, and accelerate social fragmentation.

Rapid AI development could also pave the way to authoritarianism, as periods of social instability often create opportunities for governments to expand their authority in the name of restoring order, combating inequality, or protecting national security. Under President Donald Trump, it can sometimes feel as though the US is already moving in that direction. But a future Democratic administration may prove just as willing to exploit AI in pursuit of its own political goals.

None of this diminishes AI's extraordinary promise. The technology could revolutionize medicine by supercharging research on diseases such as cancer and Alzheimer's, transform food production, and help tackle climate change—and that is only scratching the surface. The question, then, is not whether AI should advance, but how quickly and at what cost.

Here lies the central dilemma: US tech firms' principal argument against regulating AI is that doing so would cause America to lose ground to China. But if China can eventually mimic or steal every major US breakthrough—as it has repeatedly done—a permanent race to build ever more powerful AI is a recipe for disaster. Lasting safety will ultimately require some degree of international cooperation, much as nuclear arms control became indispensable during the Cold War.

While AI raises profound concerns about employment, inequality, and social cohesion, none is more important than safety. The industry's argument that meaningful regulation must be avoided because it would slow innovation or undermine US competitiveness seriously understates the risks of deploying increasingly sophisticated AI systems before we know how to control them.

To be sure, regulators will make mistakes, and some rules may prove overly restrictive. But those errors can be corrected. The consequences of rushing one of the most consequential technologies humanity has ever created without adequate safeguards, by contrast, may not be.

The Hugging Face hack should serve as a stark warning to policymakers in Washington and Beijing. Winning the AI race will matter little if, in the process, we create hazards that no country can contain.

2. The Painful Incompetence of the Indian State

Author: Devesh Kapur **Published:** Aug 3, 2026 **Link:** View Original

WASHINGTON, DC—Recent student-led protests, which forced Indian Prime Minister Narendra Modi's typically unyielding regime to capitulate on key demands, dented Modi's personal aura of power and exposed the limits of his government's ability to curb dissent through heavy-handed repression. But the protests also exposed a broader and more prosaic characteristic of the Indian state: incompetence.

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The catalyst for the protests was a bungled exam process. In India—like in China, Japan, South Korea, and Vietnam—students' futures are decided largely by their performance on one exam. They spend years preparing for these high-stakes tests, which determine whether they gain entrance to one of a limited number of high-quality institutions of higher education or access to coveted government jobs.

Given the scarcity of university places, Indian students who can afford to head to universities abroad increasingly do so: in the last eight years, this figure has tripled, from around 450,000 in 2017 to 1.25 million in 2025. For lower-middle-class youth, however, there are only a few ladders of social mobility, and university entrance exams are invariably the first rung.

As stressful as the exams are, until recently they were conducted reasonably smoothly. Nonetheless, in 2017, the growing number of exams (and students taking them) spurred the government to establish a centralized body, the National Testing Agency, to administer them. There was just one problem: the NTA's capacity was never up to the job. While more than ten million students take entrance exams in thousands of centers, hundreds of cities, and more than a dozen languages each year, the NTA's workforce is just 39 people, with a mere 24 in permanent posts.

The agency apparently believed that it could fill the gaps through outsourcing. But errors proliferated: paper leaks, postponed exams, mistakes in questions, and delays in announcing exam results. Last year, a parliamentary committee noted dryly that the NTA's performance had "not inspired much confidence."

This year, allegations of a leak forced millions to retake a grueling medical entrance exam, and grading discrepancies emerged on a different exam. Against a backdrop of high youth unemployment and a gratuitous insult from a Supreme Court justice, students were outraged. They poured into the streets demanding the education minister's resignation and broader education reform. When heavy-handed tactics failed to quell the movement, the government was forced to offer concessions—an unnerving outcome for Modi's regime.

The problem extends beyond the NTA. India's relatively weak state capacity, which lags significantly behind that of East Asian countries, has long hampered the economy's development. Modi has been promising to address the problem since he came to power in 2014. But while his government's emphasis on centralizing power and strengthening executive control has improved the "hardware" (infrastructure), it has come at the cost of deteriorating "software" (policies and institutions)—crucial for long-term development.

Improving the state's bureaucratic machinery, including by attracting talented people, should have been a no-brainer. But by systematically prioritizing loyalty over competence, Modi's government has inadvertently fostered risk aversion and mediocrity among senior bureaucrats. The fact that the government was caught off-guard by the frustration among India's youth was not just a failure of discernment; it was an inevitable consequence of shutting out non-partisan sources of information.

Making matters worse, key officials are simply too old to grasp the dynamics of our rapidly changing world, let alone adapt to them. What limited policy changes have been undertaken have mostly been responses to external pressure, whether from Donald Trump or the growing threat from China.

Instead, Modi's government has placed the highest priority on advancing narrow ideological objectives. For the Bharatiya Janata Party (BJP)—and its ideological parent, Rashtriya Swayamsevak Sangh—controlling the education ministry is vital to propagate Hindutva (Hindu-nationalist) ideology. It is widely believed that academic appointments, from vice-chancellors to faculty, must have the RSS's blessing.

The Modi government has also throttled other essential levers for strengthening the state's capabilities, from sub-national governments to civil society, mostly due to its deep mistrust and intolerance of anything it cannot control. Without "cooperative federalism," India cannot meet the many pressing challenges it faces, whether in education, energy, or the environment. But under Modi, states have little authority. As a result, not even the issues that directly affect India's political elite—such as severe air pollution in Delhi—get resolved.

Meanwhile, the government muzzles NGOs and think tanks if they dare to question its self-congratulatory messaging. This has impeded efforts to augment the state education system and redress the poor outcomes that have become standard for Indian schoolchildren, jeopardizing their futures and India's development and prosperity. In addition, draconian laws governing foreign funding have undermined the philanthropic efforts of India's well-heeled diaspora.

The Modi government has failed to strengthen even the agencies tasked with implementing its own priorities. In 2020, the government unveiled a forward-looking National Education Policy, aimed at transforming the education system to deliver universal high-quality education. Six years later, nearly two-thirds of staff positions at the country's two principal higher-education regulators are vacant, stymieing progress.

Modi was propelled to power by popular frustration with the Congress-led government's corruption and incompetence. But, 12 years later, his government's record reflects the same pathologies. While the BJP felt untouchable earlier this year, following its unprecedented landslide victory in the West Bengal state elections, India's young people have now offered it a somber reminder that a pendulum swings back at its apogee.

3. The Case for a Pay-Where-You-Play Tax System

Author: Jayati Ghosh **Published:** Aug 3, 2026 **Link:** View Original

NEW DELHI—This week, delegates from around the world will gather in New York to negotiate the proposed United Nations Framework Convention on International Tax Cooperation, a landmark agreement aimed at making global tax cooperation more inclusive and effective. If adopted, the Convention would represent the most consequential overhaul of the global tax system in nearly a century, fundamentally changing how countries tax multinational corporations and, potentially, the world’s wealthiest individuals.

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New research by the global union federation Public Services International (PSI) and the Tax Justice Network underscores the urgent need to reform the international tax system. Drawing on publicly available country-by-country reporting data, it estimates that governments could collect an additional $500 billion in corporate tax each year by replacing today’s “pay-where-you-say” system with a “pay-where-you-play” approach.

The current system is the product of century-old rules that are no longer fit for purpose. By allowing governments to tax multinational corporations where they declare their profits rather than where they generate them, it rewards companies for shifting taxable income into tax havens before reporting it.

In 2012, the G20 tasked the OECD with aligning where profits are reported with where companies actually operate. That effort failed, and profit shifting has only intensified. According to the PSI/Tax Justice Network report, taxing profits where they are actually earned would increase multinational corporations’ tax payments by 24% without requiring any country to raise its corporate tax rate.

The negotiations in New York represent the best opportunity in decades to replace the outdated “pay-where-you-say” model with a “pay-where-you-play” framework that taxes multinational corporations where they employ people and sell goods and services. This reform could make tax havens obsolete overnight and restore governments’ ability to tax economic activity taking place within their own borders.

Under such a framework, the largest revenue gains would go to the world’s richest economies, but the greatest impact would be felt in the poorest. For many lower-income countries, the additional revenue would amount to several times what they currently collect from multinational corporations. This is consistent with the findings of the annual State of Tax Justice reports: while the largest economies lose the most to corporate tax abuse in absolute terms, lower-income countries suffer the greatest losses relative to the size of their tax bases.

That is not to say that advanced economies would not benefit. The United States, for example, would collect an estimated $35.5 billion in additional tax revenue—enough to increase spending on renewable energy 45-fold and create more than 265,000 jobs. The United Kingdom would receive $16.9 billion, enough to fund its newly introduced cost-of-living measures six times over. EU member states, meanwhile, would collect roughly $65.7 billion annually, enough to quadruple current spending on climate adaptation in agriculture, energy, and transport. Spain and France, both confronting their most devastating wildfire seasons on record, would receive and $4.2 billion and $25.5 billion, respectively.

For the Global South, the gains would be transformative. In a single year, the report estimates, lower-income countries would collect more than the total amount they currently owe the International Monetary Fund in outstanding loans.

So how do we move from today's "pay-where-you-say" system to a genuine "pay-where-you-play" one? Article 5 of the draft UN Tax Convention—the product of two years of negotiations—tries to do just that by allocating taxing rights among countries based on clear, objective factors like sales, employment, and natural resources.

If adopted, the Convention would end the century-old practice of transfer pricing, through which multinationals use internal transactions to shift profits to low- or no-tax jurisdictions with little connection to where they actually do business. Every country except the most aggressive corporate tax havens stands to benefit from such a change, and even those jurisdictions can offset their losses by simply imposing moderate taxes on the profits earned within their borders.

That said, the draft Convention can still be strengthened. The commitment to a "pay-where-you-play" approach must be backed by practical measures, particularly country-by-country reporting (CbCR)—a simple yet powerful transparency tool that requires multinational corporations to report key financial information separately for every jurisdiction in which they operate. Since 2015, large multinationals have been required under OECD rules to provide these reports confidentially to tax authorities. Making them public would subject multinationals to the same accountability standards as smaller domestic businesses.

Strikingly, even private reporting has been shown to increase companies' effective tax rate by around 1.5 percentage points, generating tens of billions of dollars in additional revenue. And where those same reports are made public, the gains are roughly twice as large.

Public reporting would also ensure that all countries benefit equally. At present, reliable access to CbCR remains largely limited to OECD members. Most lower-income countries receive incomplete information, obtain it only after long delays, or have no access to it at all. With the EU and Australia already requiring public CbCR for selected high-risk jurisdictions, there is no justification for denying every other country access to the same data. The UN Convention must therefore establish a global CbCR database.

Lastly, it is worth remembering that democracy itself emerged from the struggle for fair taxation, reflected in the principle of "no taxation without representation." For decades, multinational corporations have been shifting profits out of the countries where they are generated into accounting "nowhere" zones. This has led to widespread economic insecurity, creating fertile ground for billionaire-backed authoritarianism.

The UN Tax Convention offers a different path, asserting that the shops, offices, factories, and workers that generate global profits matter. By restoring the link between where profits are made and where they are taxed, the Convention advances a modern form of taxation with representation and carries forward one of democracy's oldest principles.

As negotiations conclude in New York, delegates must ensure that the UN Tax Convention lays the foundation for a fairer, more transparent international tax system. The alternative is to preserve a tax system that has repeatedly put corporate interests ahead of people and the planet.

4. What a Sino-American G2 Would Mean for Asian Security

Author: Brahma Chellaney **Published:** Aug 3, 2026 **Link:** View Original

TOKYO—Grand foreign-policy strategies rarely disappear overnight. More often, they are dismantled gradually through subtle rhetorical shifts, bureaucratic adjustments, and changing diplomatic priorities. America's Indo-Pacific strategy is no exception.

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A decade ago, then-Japanese Prime Minister Abe Shinzō unveiled the concept of a "free and open" Indo-Pacific. Based on the idea that the Indian and Pacific Oceans form a single strategic theater, he sought to build a coalition of democracies committed to preventing any one power from dominating the region.

The United States subsequently embraced this vision, reviving the Quad coalition and establishing its members—Australia, India, Japan, and the US—as the principal anchors of the regional balance of power. The underlying strategic logic was compelling. Like the alliance system more broadly, the Indo-Pacific coalition would amplify US influence by encouraging middle powers to shoulder greater responsibility for regional stability. Moreover, its multiple centers of power and shared objective would make it inherently resilient.

More recently, however, US President Donald Trump has advanced the idea of a "G2" comprising just the US and China. Unlike the free and open Indo-Pacific vision, which seeks to maintain stability by cultivating a broad network of like-minded partners, the G2 concept assumes that the world's two leading powers should shape the regional and global order through direct negotiations.

The approach elevates bilateral deal-making at the expense of multilateral diplomacy, thereby diminishing the strategic weight of middle powers—and, by extension, US influence. Its durability largely rests on the personal chemistry and shifting calculations of leaders in Washington and Beijing. While Trump seems to be warming up to Chinese President Xi Jinping today, there is no telling what tomorrow will bring. Simply put, the G2 is a highly unstable proposition.

One might be tempted to dismiss this as just another example of Trump's unconventional diplomacy, which often emphasizes bilateral bargaining over coalition-building. But his administration has also systematically deprioritized the Quad, with its latest National Security Strategy making just a single passing mention of the grouping. The US Department of Defense, for its part, has reverted to referring to its principal theater as the "Pacific," instead of the "Indo-Pacific."

Together, these developments suggest that this is no temporary bluff or brief diplomatic glitch. Under Trump, the free and open Indo-Pacific strategy is unraveling.

This carries grave risks for Japan. Over the past decade, Abe’s Indo-Pacific vision has anchored Japan’s national security strategy, with the goal of ensuring that China does not concentrate its military pressure in East Asia. If the US focuses exclusively on the Western Pacific, Japan would lose its strategic depth and risk finding itself face-to-face with China’s maritime might.

None of this is lost on Japanese Prime Minister Sanae Takaichi, who has redoubled her commitment to the vision of a free and open Indo-Pacific. In May, she unveiled an updated Indo-Pacific framework emphasizing regional economic resilience and enhanced security cooperation. Her government has been reinforcing the partnerships that give the strategy practical effect by deepening strategic ties with India and Australia and expanding “minilateral” arrangements, including the Japan-US-Philippines and Japan-US-South Korea trilateral groupings.

In Japan’s strategy for preserving Asia’s balance of power, India occupies a central position. This was apparent during Takaichi’s visit to New Delhi last month, when she and Indian Prime Minister Narendra Modi reaffirmed their commitment to the Indo-Pacific framework and agreed to expand cooperation in areas ranging from AI and critical minerals to defense technology. For Japan, India is not just another strategic partner. With its vast size, formidable military, dynamic economy, and commanding position astride the Indian Ocean, it is the indispensable western pillar of the Indo-Pacific architecture.

India presents China with a two-front dilemma, forcing Chinese military planners to split their attention and resources between the continental and maritime theaters. If China did not have to monitor its long, tense Himalayan frontier with India—where dozens of soldiers died after Chinese land grabs triggered clashes in 2020—and protect critical Indian Ocean trade routes, it would be able to concentrate overwhelming force in the Western Pacific.

By removing the “Indo” from “Indo-Pacific,” the Trump administration has exposed its lack of understanding of this critical dynamic. Together with its G2 vision, the shift amounts to an important symbolic and geopolitical victory for China. After all, Chinese leaders have long argued that the Indo-Pacific strategy’s real aim was to “contain China” and “make Asia-Pacific countries ‘pawns’ of US hegemony.” They would vastly prefer a Pacific-centric framework in which the US and China negotiate directly, and other regional powers do as they are told.

Whatever the Pentagon names its strategic theater, the geography will not change. China’s most important energy and trade lifelines still pass through the Indian Ocean, and the Himalayan frontier still constrains Chinese military planning. Preventing the emergence of a unipolar Asia, therefore, still depends on maintaining a free and open Indo-Pacific, underpinned by a broad coalition of democracies committed to that objective.

Whether the US returns to this framework remains to be seen. Japan, however, has already made its choice.

5. YOUR CHOICES REGARDING COOKIES ON THIS SITE

Author: Brahma Chellaney **Published:** 2026-08-04 **Link:** View Original

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7. The Triumph of India’s Cockroaches

Author: Shashi Tharoor **Published:** Aug 4, 2026 **Link:** View Original

NEW DELHI—For those accustomed to viewing Indian democracy through the prism of grand electoral contests or warnings about institutional erosion, recent weeks have provided a refreshing demonstration of democracy’s resilience. What began as provocative online satire exploded into one of the most remarkable—and successful—youth-led political movements in modern Indian history.

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It started with an insult. In mid-May, during an open court hearing, Supreme Court Chief Justice Surya Kant referred to some unemployed young people as “cockroaches” and “parasites.” Though Kant insists that he was referring only to those who use fake degrees to enter the legal profession, his comment struck a nerve in a country where tens of millions of educated young people have found themselves navigating an economic landscape marred by jobless growth.

Rather than succumbing to despair or quiet indignation, young people offered a satirical response to Kant’s comments. Within 24 hours, the “Cockroach Janta Party”—a play on the name of the ruling Bharatiya Janata Party—was born, with “Voice of the Lazy & Unemployed” as its ironic tagline. Within a few days, the CJP emerged as a social-media juggernaut, amassing over 20 million followers—more than the official accounts of the established political machines, including the BJP.

The joke’s impact lay in the genuine grievances it captured. Despite high unemployment among university graduates, young Indians still view higher education as their only hope for upward social mobility, spending years preparing for hyper-competitive national entrance examinations.

But this year, exam leaks, grading irregularities, and the sudden cancellation of results blighted the process. Some 2.2 million students were forced to retake the grueling medical entrance exam, the National Eligibility cum Entrance Test, owing to leak allegations. Upon learning that their May 3 attempt had been voided, some of these students committed suicide. Such tragedies transformed economic anxiety into moral outrage.

The “cockroach” movement provided an ideal outlet for this fury. Unaffiliated with traditional party structures and supported across ideologically diverse segments of civil society, the movement defied conventional political categorization. By June, it migrated from smartphone screens to the heat of Indian city streets, with tens of thousands of students, civil-service aspirants, and concerned citizens gathering in the capital and across major urban centers to demand education reform.

Once the BJP government realized that it could not simply ignore the "cockroaches," it decided to quash them. While some BJP figures blamed the movement on malicious foreign actors, the authorities blocked CJP-linked social-media accounts, tasked security agencies with monitoring the movement's coordinators, banned public gatherings, established a heavy police presence in Delhi, and shut down the internet in the city center.

But the movement's decentralized nature, combined with the moral clarity of its demands for educational integrity and institutional accountability, rendered these authoritarian tactics futile. Protesters gathered at Delhi's Jantar Mantar, reaching larger numbers than the area could contain, and called for a march to parliament, barely a ten-minute walk away from the locus of the demonstrations.

Having yet to learn its lesson, the government turned to brutality, with police charging the protesters, assaulting many on the streets, and even using water cannons and pellet guns. Nearly 180 people were injured, according to Delhi police. But far from quelling the movement, the government's tactics heightened popular outrage, with protests spreading to many cities and towns.

Eventually, the government recognized its mistake. Unlike past protests—including the demonstrations against the 2019 Citizenship Amendment Act, which affected Indian Muslims, and the 2020–21 protests by farmers—the student protests could not be framed as being narrowly focused on minority rights or sectoral interests. The demographic the "cockroaches" represent constitutes nearly half the electorate, and the majority come from middle-class households, including families that have traditionally voted for the BJP. For the ruling party, alienating this cohort would court electoral disaster.

In a dramatic retreat, the central government opened direct talks with student representatives and pledged to establish expedited judicial mechanisms to punish those involved in exam leaks. It also accepted the resignation of Union Education Minister Dharmendra Pradhan—a step that it had previously insisted was "off the table." For an administration that has spent the last decade cultivating an image of unyielding strength and muscular executive control, the capitulation was notable.

By turning a judge's slur into a badge of honor, India's youth have reminded their leaders that the political establishment, no matter how powerful it becomes, cannot ignore the collective will of the public indefinitely. They have also demonstrated that, while autocratic tactics can undermine institutions and intimidate the political opposition, they are ill-equipped to quell the decentralized, irreverent, and chaotic energy that animates successful youth protest movements.

The message is clear. Democracy is not built only on the institutions that are said to have been hollowed out under BJP rule. It does not reside solely in legislative chambers, courts, or election commissions. Rather, it also depends on the habits of citizens. And India's citizens have shown that their democratic spirit remains irrepressible.

The concessions secured by the cockroach movement amount to more than a triumph for prospective medical students or a brief political headache for the BJP. They reaffirm the bargain that underpins Indian democracy, proving that even after years of centralization and executive dominance, power remains with the people. They are not going away, and nor is Indian democracy.

8. Zombie Monetarism

Author: James K. Galbraith **Published:** Aug 4, 2026 **Link:** View Original

TOWNSHEND, VERMONT—Three prominent economists, Peter Ireland, Stephen Miran, and Nouriel Roubini, have just published a paper intended to influence Kevin Warsh, the new chair of the Federal Reserve who previously studied under Milton Friedman while at Stanford. Miran, a former chair of the White House Council of Economic Advisers and former Fed governor, and his colleagues seek to revive Friedman's famous doctrine, monetarism, defined loosely as a focus on the money supply, but now dressed up in the grass skirts of a Divisia index.

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As it happens, I am the sole survivor of those involved with monetary oversight at the US House of Representatives Banking Committee from 1975 forward, when monetarism was in full bloom. Ireland, Miran, and Roubini make reference to language I remember well: the 1977 statutory instruction that the Fed "maintain long run growth of the monetary and credit aggregates commensurate with the economy's long run potential to increase production, so as to promote effectively the goals of maximum employment, stable prices, and moderate long-term interest rates."

That wonderful phrasing actually goes back to early 1975, and was the work (mainly) of two hard-core monetarists on the House Banking Committee staff. Both were University of Chicago PhDs and disciples of Friedman. Both were also Democrats, and both were named Bob: Weintraub and Auerbach.

I joined the staff shortly after the oversight resolution passed and was the odd person in the trio, a student of the British Keynesian Nicholas Kaldor and the progeny of that famous Friedman adversary, my father, John Kenneth Galbraith.

Our joint objective was to oblige the Fed to report regularly to Congress, and specifically to us. Until then, the Fed was under no mandate to do so, and its procedures were opaque. The core instrument, the federal funds rate, was a secret—the markets had to guess. But money and credit growth could be discussed, so that went into the statute. The Fed could be (and was) asked to report on target ranges for growth of the various aggregates, consistent with its forecast for real (inflation-adjusted) GDP, inflation, and employment.

The money-targeting language was (and is) operationally meaningless. "Commensurate" is not the same as "proportionate," and "long run" allows for deviation from any stated course. The language simply directs the Fed to pursue a policy to keep production on par with potential, which is exactly what the operative language on employment, prices, and interest rates specifies. But it was crucial as politics, and my monetarist colleagues were satisfied.

There followed another dance, concerning the base for each money and credit target range. The Fed initially wanted to roll the base forward every quarter, folding its misfires into history. That was, of course, ridiculous. Eventually, we specified—and the Fed accepted—an annual process, with a mid-year check-in, which became the "Humphrey-Hawkins" procedure. Regular Fed reports to Congress have continued ever since.

The reporting requirements did not prevent the money-supply numbers from wandering from their target ranges, year after year. They ultimately helped drive home the futility of setting money-growth targets.

Since that era, the Fed has moved (as Ireland, Miran, and Roubini observe) from the brief and violent Paul Volcker period of money targeting, to a vague form of "inflation targeting," and now to direct control (price-fixing) of short-term interest rates, combined with elaborate public statements. The money supply numbers have fallen into disuse, while the public-facing central bank—a trend-setter for the world—has spawned a cottage industry of semanticists who scrutinize every colon, semi-colon, and comma in the "forward guidance."

Warsh is right, in my opinion (so, too, Ireland, Miran, and Roubini), to cut back the verbiage, leaving the monetary necromancers temporarily unemployed. As we worked to establish back in 1975, the Fed is a "creature of Congress," and the responsibility for oversight rests with Congress. The Fed should say less, and Congress should ask more.

Ireland, Miran, and Roubini go further, to endorse a "soft monetarism" in which the growth rates of a money index—the various aggregates weighted by relative degrees of liquidity, Divisia-style—are used to assess inflationary pressures. But there are two difficulties with this. First, as they acknowledge, the link from money to inflation depends on reasonably stable "velocity"—not an easy assumption to defend. If the velocity of money isn't stable—and it certainly wasn't during the COVID-19 pandemic or on many other occasions—the "quantity theory" cannot be used to inform policy.

The second problem is one I have dealt with at length in other work. The essential point is that used cars, existing homes, and other capital assets (like stock prices) are not correctly included in the "inflation" measure that Friedman and other quantity theorists put into their equation. The monetarists were concerned with the prices of newly produced goods, not those things that the public already owns and trades back and forth with itself.

But prices of new goods did not rise the way those of used cars and houses did in the "quasi-inflation" of 2021 and 2022. Ireland, Miran, and Roubini are therefore wrong to link the increase in the money supply caused by COVID-19 relief to "inflation" in the theoretically correct sense of that term. How to define and measure inflation properly would be an excellent topic for one of those working groups Warsh has been assembling.

In short, while the Divisia index may help to measure money, velocity is still unstable, and inflation is still mis-measured. So, monetarism, soft or not, will stay dead.

The most doctrinaire monetarist in Congress during the 1970s was another Democrat, Senator William Proxmire, who had obliged the Fed to send regular letters whenever the growth of M1 (the most liquid form of money) was below 2% or above 6%—Friedman's preferred guideline at the time. Shortly after I left the House Banking Committee in early 1981 to become executive director of the Joint Economic Committee, the Fed's congressional liaison, Don Winn, stopped by to ask if they could stop sending those letters. I happily agreed. I did not inform Proxmire, who never noticed.

9. Taiwan Needs a New Deterrence Strategy

Author: Todd G. Buchholz **Published:** Aug 4, 2026 **Link:** View Original

SAN DIEGO—As the US-Iran war threatens to ignite a worldwide energy crisis, another hotspot may come to a boil: Taiwan. During a recent visit to Taipei, I didn’t need to read Mandarin to spot the lead news story every day: another step in China’s campaign to intimidate the island.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

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What once would have been deemed a crisis—People’s Liberation Army aircraft crossing the Taiwan Strait’s median line, PLA vessels and surveillance balloons pressing closer, or Chinese authorities interrogating commercial ship captains—has become a daily ritual. For the Chinese government, this is a victory in itself. Constant gray-zone coercion is designed not only to frighten Taiwan but also to numb the rest of the world, making Taiwanese President Lai Ching-te sound like the tiresome boy who cried dragon.

Meanwhile, Chinese President Xi Jinping’s strategists watch Hormuz and study something even more valuable than naval frigates: American decision-making. How quickly does the United States respond to threats and attacks? How much political backlash can President Donald Trump tolerate? And how much economic pain are US allies willing to bear? Every missile fired at Iran provides new information. Iran’s mullahs, scoffing at incoming fire and defying conventional political logic, have inadvertently become China’s defense research assistants.

But Taiwan is a different case. It’s too valuable not to be vulnerable. The country dominates in semiconductors, accounting for 92% of the world’s manufacturing capacity for the most advanced chips. If these factories shutter, the tremors will go far beyond Silicon Valley. Modern economies run on semiconductors, much like 19th-century economies depended on coal and whale oil. Without chips from Taiwan, refrigerators would stop cooling, and traffic lights would stop working. We would witness crashes on trading floors and at road intersections.

Decades ago, Kuwait and Saudi Arabia discovered that possessing the world’s most valuable commodity was both a blessing and a glaring vulnerability. Oil made these kingdoms indispensable, putting a target on their backs. In 1990, Iraq’s Saddam Hussein decided he could not resist trying to steal an entire country. Taiwan faces a similar dilemma, because China knows precisely the prize it seeks.

Reining in China’s designs on Taiwan requires a new kind of deterrence. Just as Saudi Arabia is spending trillions of dollars to be known as more than the world’s gas station, Taiwan must diversify. The country needs a second crown jewel to become indispensable to the democratic world. As I have recommended to Taiwanese officials, defense software offers the opportunity.

A collection of PS commentaries examining how a few individuals amassed unprecedented wealth—and how they are using it to dismantle democracy. Featuring insights from Cristina Enache, Brooke Harrington, James Livingston, Michael Madowitz, Ann Pettifor, Matt Simonton, and Quinn Slobodian.

Future military advantage will depend less on steel than on code: battlefield networking, AI, cybersecurity, logistics, communications, and command-and-control software. While chip fabrication plants can be replicated—Taiwan Semiconductor Manufacturing Company itself is expanding abroad—trusted software ecosystems, engineering talent, institutional knowledge, and decades of collaboration cannot.

Economists call this moving up the value chain. I would also call it moving up the deterrence chain. Taiwanese leaders should call Palmer Luckey of Anduril and Alex Karp of Palantir for advice.

Equally important, Taiwan occupies an unusual position in Asia. Japan and South Korea have spent decades reopening and stitching closed the wounds of occupation. Taiwan is a regional player that neither side resents, making it a trusted intermediary—a rarity in global politics.

Rather than waiting for the US to take the lead, Taiwan should establish a “Committee for the Defense of Freedom.” This would be a practical institution devoted to defense technology and coordinated responses to economic coercion, not a formal military alliance requiring years of treaty negotiations, summit communiqués, and group photos in front of fancy hotels.

Eight centuries ago, the Hanseatic League connected independent cities around the Baltic and North Seas to share information and deter piracy. No emperor ordered them together; shared interests united them. Asian democracies need a 21st-century reboot—not to protect merchant ships from pirates, but to protect free societies from blackmail and invasion.

China has built artificial islands one dredge scoop at a time. Taiwan and its democratic partners can build deterrence in a similar fashion: one software platform, one intelligence agreement, one research partnership at a time.

Iran has been a practice test for the US military, and China’s leaders have been peering over Trump’s shoulder. Taiwan should not wait for the final exam. It should rewrite the syllabus.

10. A New Paradigm for Global Health Financing

Author: Donald P. Kaberuka **Published:** Aug 4, 2026 **Link:** View Original

ABUJA—Global health financing has long reflected good intentions but flawed incentives, with donor countries setting priorities and recipient governments learning to follow them. But this decades-old arrangement is now collapsing, giving us a rare opportunity to transform how we finance health nationally, regionally, and globally.

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More countries are already articulating a vision in which health financing would build on national resources, answer to domestic priorities, and remain accountable to their own citizens. Health would be seen not as a cost but as an investment that drives growth and builds resilience, and the international system would become more closely aligned with national ambitions. Countries would collaborate where interests converge, with everyone recognizing that stronger national capacities ultimately strengthen collective preparedness and global stability.

Those calling for a change do not deny that global health financing has delivered real gains. Development assistance for health grew from $15 billion to $50 billion between 2000 and 2019, and with it came procurement systems, financing mechanisms, and collaborative infrastructure, proving what concerted global health cooperation can achieve. The system saved lives, improved health, and contributed to major development milestones.

But the same arrangements also entrenched dependency and concentrated power, consistently rewarding short-term outputs over long-term capacity. Accountability ran upward to donors, not downward to citizens.

Then came the 2025 disruptions to aid flows, multilateral institutions, and the assumptions underpinning them. What has followed is an overdue reckoning, and with it the question of how to develop something better.

The answer must include three distinct but mutually reinforcing elements. First, domestic financing must be the foundation, not a footnote. Although the process of increasing domestic spending for health will depend on a country’s starting point, all must pursue greater self-reliance. This requires tax reforms, budget prioritization, good governance, and public trust that government spending is delivering real benefits.

Debt relief is also critical. In heavily indebted economies, debt service has become a direct fiscal competitor to health spending, sometimes even exceeding total government allocations to health. Efforts to strengthen domestic financing must go hand in hand with tackling the structural constraints that continue to hinder it, and that requires removing the political obstacles to alleviating the debt burden.

None of this will be achieved in isolation. The scale of the challenge—from expanding fiscal space to rebuilding systems hollowed out by decades of aid dependence—points to the need for greater economic growth. Unlocking private investment and leveraging innovative approaches such as blended finance or debt-for-health swaps will be essential.

Second, official development assistance (ODA) and international financing must continue to provide support from the sidelines. The composition of overall development finance has shifted dramatically over the past decade, with bilateral flows falling by 6% and private creditor flows collapsing by 94% as multilateral finance rose by 124%.

Though it remains an integral part of the picture, ODA is under growing pressure. At an estimated $154 billion in 2026, total ODA is comparable to its 2015 level. Development assistance for health specifically is estimated to have stagnated at around its 2025 level of $38 billion. But even more important than funding cuts is how the remaining resources are used. External financing should fund only what cannot yet be covered domestically, and it should be concentrated where it is truly irreplaceable, namely in fragile settings and the lowest-income countries. Global resources and surge capacity to respond to humanitarian crises will remain necessary.

Nonetheless, most ODA should be strategic, force-multiplying, time-bound, and oriented toward accelerating a transition to national self-reliance. For many institutions and sovereign funders, this implies a radically different approach that cedes power and influence to regional and national institutions. Regional development banks, national public-health agencies, and pooled regional financing mechanisms can catalyze self-sufficiency.

Lastly, as principles of subsidiarity and sovereignty take center stage, the question of how to finance truly global collective public-health efforts comes to the fore. ODA was never designed for this role. It is politically contingent, fiscally unreliable, and poorly suited to financing functions whose value is universal.

Fortunately, middle-income countries' capacity to contribute to the global system has grown markedly, and alternative options do exist. These include various global public investment models, assessed contributions, direct non-ODA budget lines, and solidarity-based levies. The most promising approach is to distribute contributions according to capacity, while moving decisively away from governance models where the ability to pay confers the power to decide. This is a long-term ambition, but one that health and finance leaders must work toward now.

The financing architecture for global health is already being reshaped. What remains to be seen is whether it will happen by design or by default. There is a clear need for a reset, with domestic resources brought to center stage; development assistance playing a strategic, time-bound, and genuinely transitional role; and global functions financed through mechanisms built on common interests and benefits.

Realizing this vision will require complementary action at both the national and international levels. At the national level, governments must recognize the role of citizens' health in long-term development, resilience, and independence, and make the political choice to boost investment accordingly. At the same time, the international community, including sovereign partner countries and regional and global institutions, should move beyond the narrow, aid-based framing that has guided international health cooperation for decades and redirect political attention and non-aid resources toward shared priorities and mutually beneficial outcomes. Only then will global health financing truly reflect the world as it is now.

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